TAMPA BAY CEMENT MARKET STUDY

A Comprehensive Market Analysis for Strategic Market Entry

Prepared For:

SESCO Cement Corporation

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Prepared By: Market Intelligence Division

EXECUTIVE SUMMARY

Market Opportunity: Tampa Bay represents Florida's cement import gateway (75% of state imports, 6.8M MT annually) with SESCO positioned to capture 3-5% market share through white cement specialty and independent ready-mix targeting.

1.1 Key Findings

Category	Metric	Value
Market Size	Florida consumption	2nd largest in US (~14M MT/year)
	Tampa Bay market	4.0-5.5M MT/year
	Florida white cement	42-55K MT/year
Supply Gap	Florida import dependency	46% (vs. 22% US average)
	Import requirement	6.5M MT annually
SESCO Advantage	Tariff position	10% vs. 25-46% (competitors)
	Cost advantage	$12-27/MT vs. major competitors
Year 3 Targets	Total volume	190-200K MT
	Revenue	$23-24 million
	Market share (Tampa Bay)	3-5%

1.2 Strategic Advantages

Favorable Tariff Position

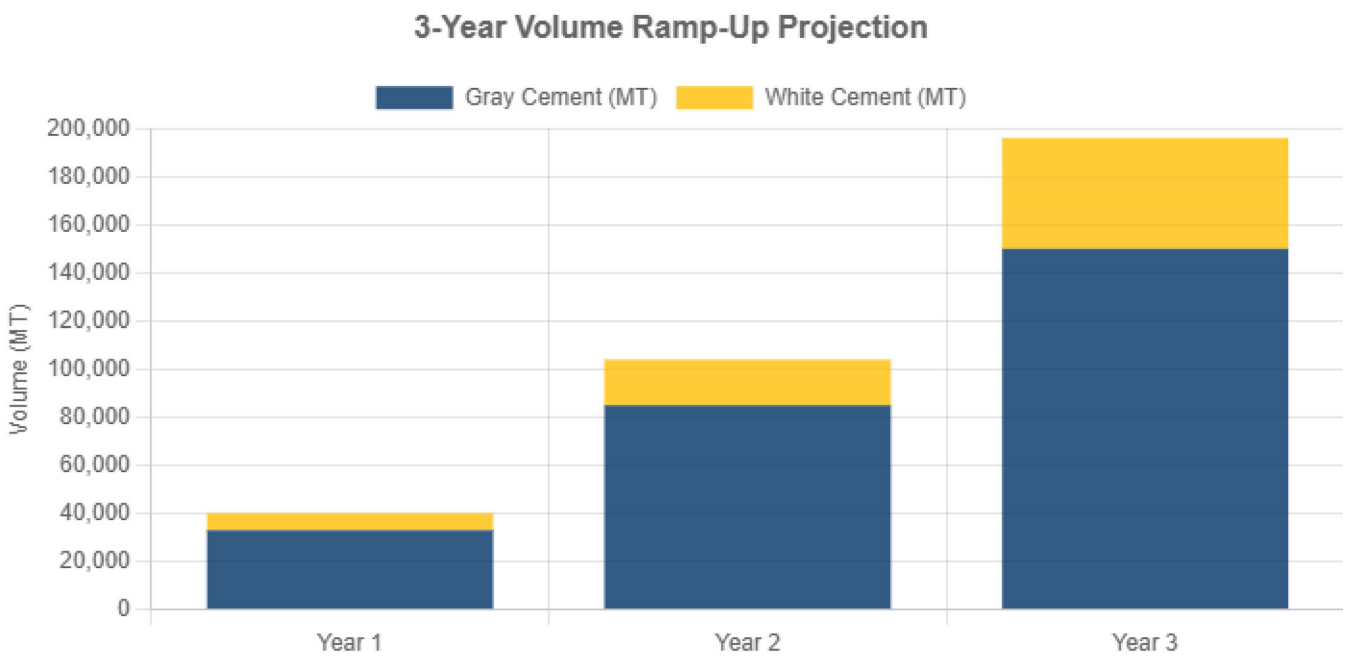
Source Country	Tariff Rate	SESCO Position
Egypt/Turkey (SESCO sources)	**10%**	✓ Cost advantage
Canada (competitor source)	25%	Higher cost
Mexico (competitor source)	25%	Higher cost
Vietnam (competitor source)	46%	Much higher cost

White Cement Premium Opportunity

Product	Price Range	Gross Margin	Competition
Gray Cement	$79-95/MT	15-25%	High
White Cement	**$180-280/MT**	**45-65%**	**Low**

> **White Cement Strategy: 2-3x price premium with only 1 US domestic producer and fragmented imports. Florida building codes mandating stucco/EIFS create sustained demand.**

1.3 Volume Projections



Product	Year 1	Year 2	Year 3
Gray Cement	25-50K MT	75-100K MT	150K MT
White Cement	5-10K MT	15-25K MT	40-50K MT
Total	**30-60K MT**	**90-125K MT**	**190-200K MT**

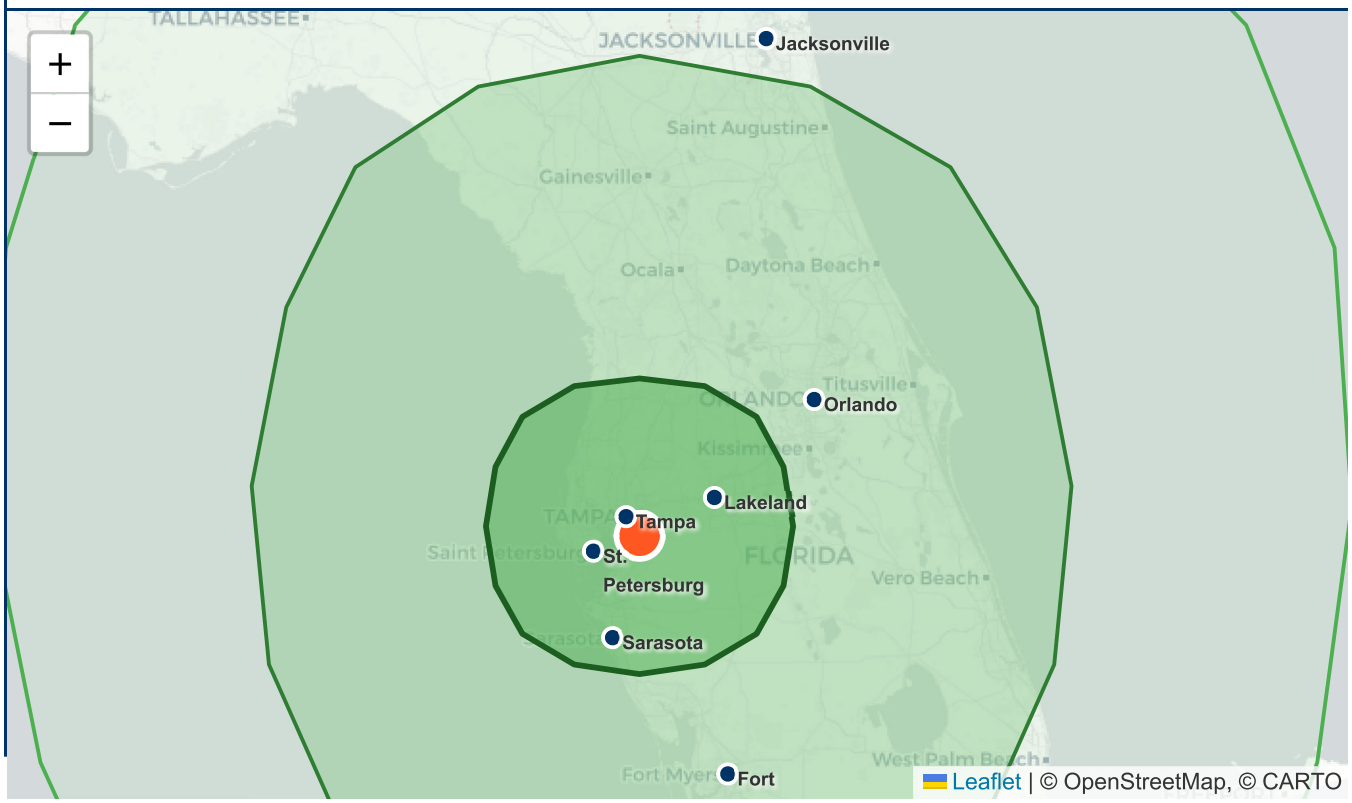
PORT REDWING STRATEGIC POSITIONING

Market Reach Analysis

Port Redwing Trucking Service Areas

Interactive map showing 1-hour (55 mi), 3-hour (165 mi), and 5-hour (275 mi) delivery zones from Gibsonton, FL terminal.

Pan and zoom before printing! Click markers for details.



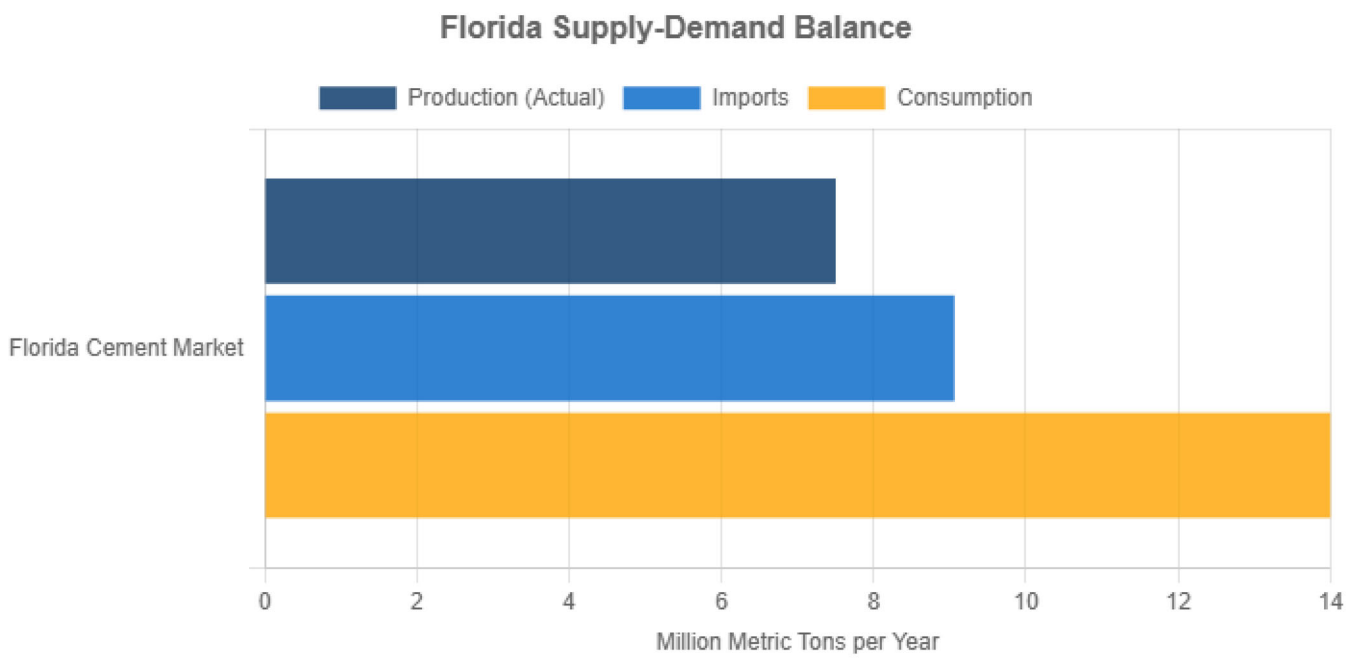
Market Reach Summary

Zone	Drive Time	Radius	Population	Key Markets
Primary	1 hour	55 mi	3.4 million	Tampa, St. Petersburg, Clearwater, Brandon, Lakeland, Bradenton
Same-Day	3 hours	165 mi	12.8 million	Orlando, Sarasota, Fort Myers, Ocala, Gainesville
Extended	5 hours	275 mi	22.5 million	Jacksonville, Miami, Tallahassee, South Georgia, Mobile AL

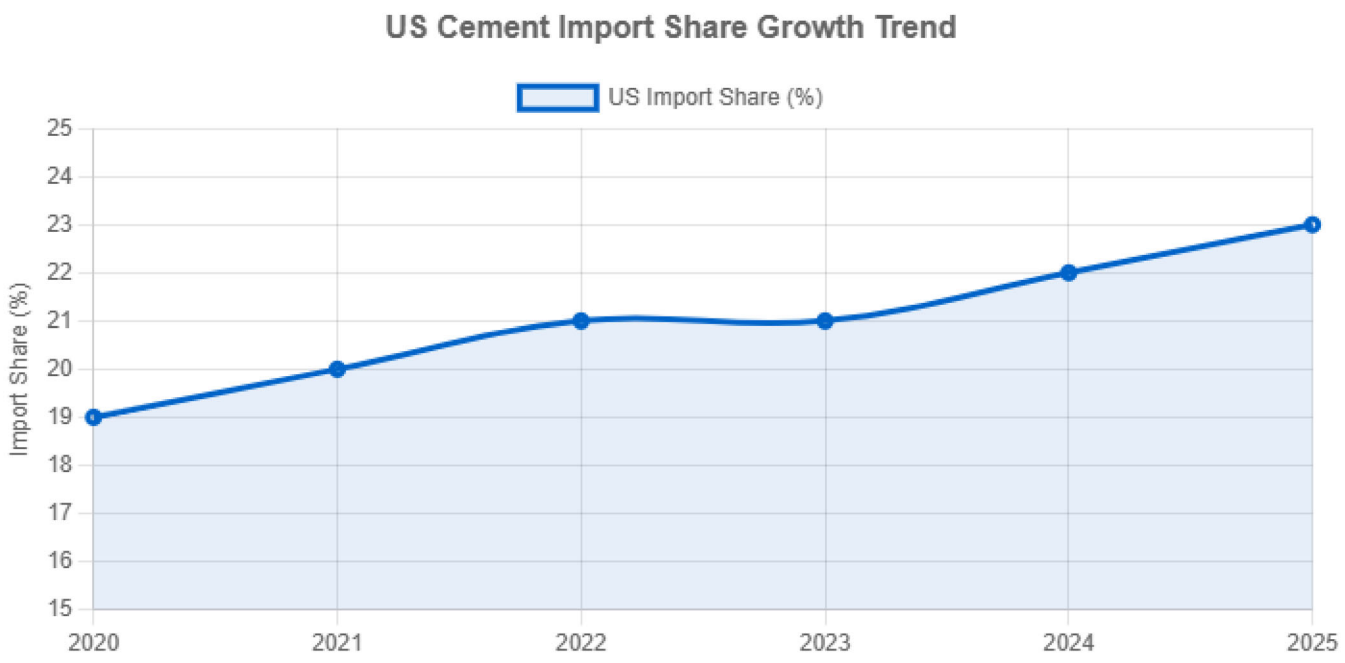
Strategic Assets: I-75/I-4 corridor access • Direct routes to entire Florida + Southeast • 200+ ready-mix plants within 5-hour delivery radius • Caribbean export proximity (5-8 days vs. 30+ from Asia)

FLORIDA MARKET DYNAMICS

Supply-Demand Balance



Import Share Trend

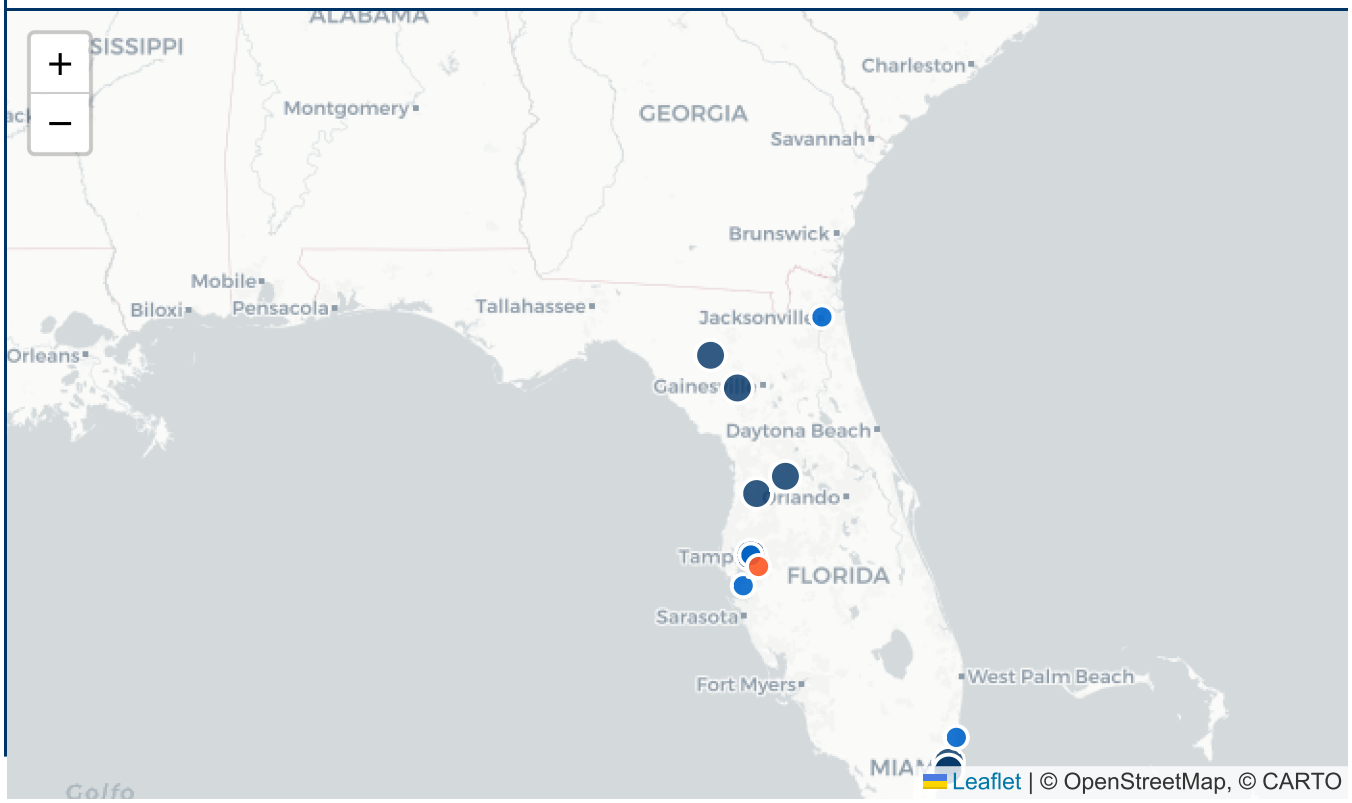


Structural Shift: US cement import share growing from 19% (2020) to 22% (2024) with Florida at 46%. Low capacity utilization (72%) means no new domestic plants likely, supporting continued import growth.

FLORIDA CEMENT INFRASTRUCTURE

Florida Cement Plants & Import Terminals

Interactive map showing all 7 Florida cement plants and 6 major import terminals. **Click to explore!** Port Redwing highlighted.

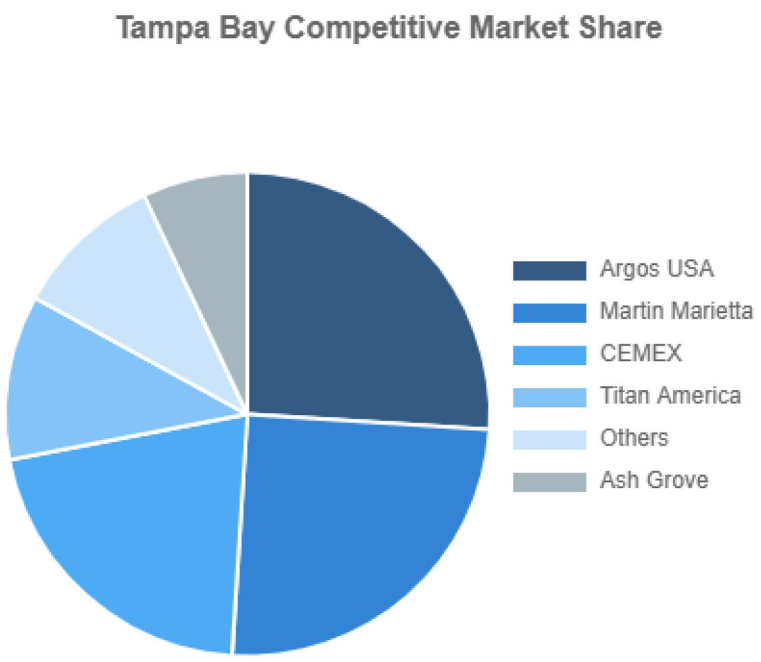


Florida Cement Plants (7 Total)

Plant	Owner	Location	Capacity (MT/yr)
Pennusco	Titan America	Miami	2.1M
Tampa Port	Argos USA	Tampa	1.9M
Newberry	Argos USA	Newberry	1.6M
Brooksville South	CEMEX	Brooksville	1.5M
Sumterville	Ash Grove (CRH)	Sumterville	1.2M
Miami	CEMEX	Miami	1.1M
Branford	Ash Grove (CRH)	Branford	1.0M
TOTAL			**10.4M MT/year**

COMPETITIVE LANDSCAPE

Tampa Bay Market Share

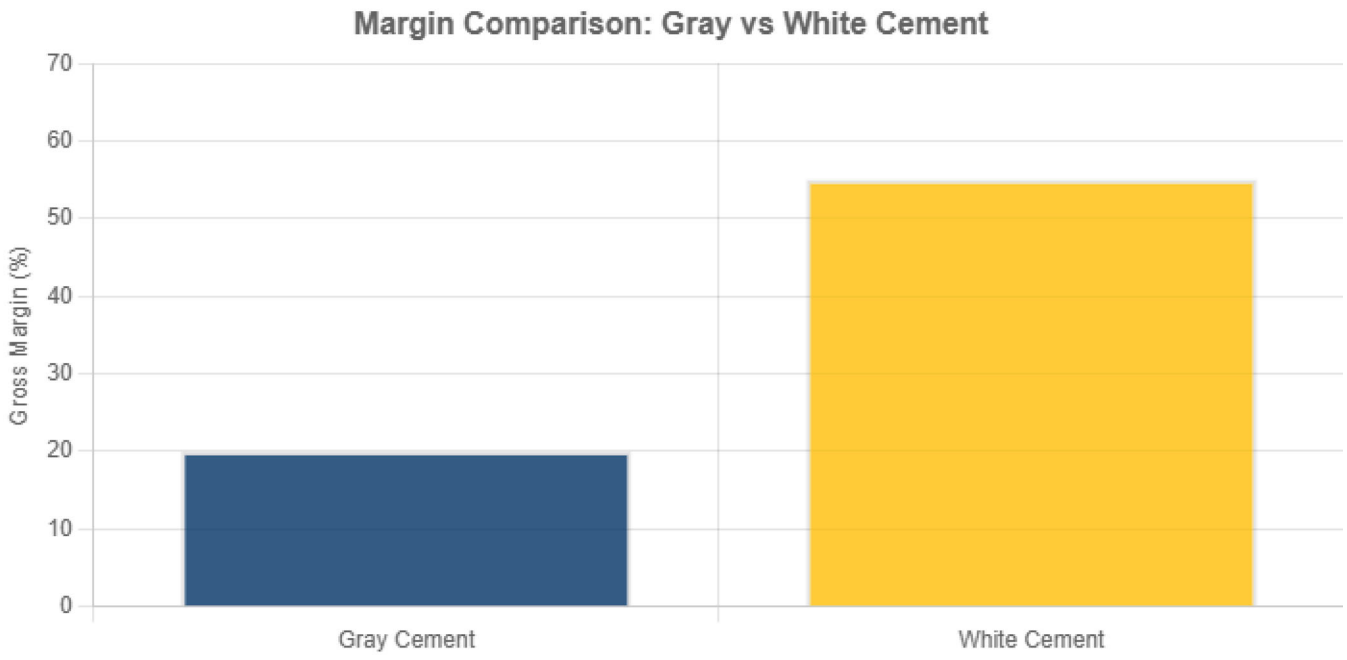


Competitive Analysis

Company	Type	Est. Volume (MT)	Share	SESCO Counter-Strategy
Argos USA	Producer	1.4M	26%	Target independents avoiding integrated supplier
Martin Marietta	Importer	1.35M	25%	White cement differentiation, non-aggregates customers
CEMEX	Producer + Importer	1.1M	21%	Mexican tariff disadvantage (25% vs. 10%)
Titan America	Producer + Importer	0.6M	11%	Geographic focus (Miami), limited Tampa presence
Others	Various	0.55M	10%	Professional operations, reliability
Ash Grove	Producer	0.35M	7%	Distance (Sumterville/Branford)
SESCO (Yr 3)	**Importer**	**0.15M**	**3%**	**White cement specialty + tariff advantage**

WHITE CEMENT MARKET OPPORTUNITY

Margin Comparison: Gray vs White Cement



Florida White Cement Market Sizing

Customer Segment	FL Demand (MT/yr)	Share	SESCO Yr 3 Target	Target Share
Stucco/EIFS Manufacturers	28-35K	60-65%	20-25K	60-70%
Tile/Mortar Producers	8-11K	18-20%	4-6K	40-55%
Architectural/Decorative	6.5-9K	15-18%	2-4K	25-45%
TOTAL	**42-55K**	**100%**	**26-35K**	**50-65%**

Why Florida White Cement: Hurricane building codes mandate stucco/EIFS exteriors • High humidity favors cement-based materials • Tourism/hospitality drives architectural demand • Pool construction (Florida #1 market) uses white cement plaster

GO-TO-MARKET STRATEGY

Customer Prioritization

Segment	Volume Potential	Margin	Priority	Year 1 Target
Stucco/EIFS Manufacturers	High	High (50-65%)	**#1**	3-5 accounts, 5-10K MT
Independent Ready-Mix	Very High	Medium (15-25%)	**#2**	5-8 accounts, 20-40K MT
Tile/Mortar Producers	Medium	High (45-60%)	**#3**	Sample programs initiated
Concrete Products Mfrs	Medium-High	Medium	**#4**	Outreach initiated
Bahamas Export	Medium	High	**#5**	1-2 distributors, 3-5K MT

Geographic Rollout (3-Phase Approach)

Phase	Timeline	Geography	Target Volume	Market Share
Phase 1	Months 1-12	Tampa Bay (1-hour radius)	30-60K MT	1-2% Tampa Bay
Phase 2	Months 13-24	I-4 Corridor (Orlando, SW FL)	90-125K MT	2-3% expanded geography
Phase 3	Months 25-36	Statewide + Caribbean Export	190-200K MT	3-5% Tampa Bay, 15-20% FL white

FINANCIAL PROJECTIONS

3-Year Revenue Projection

Metric	Year 1	Year 2	Year 3
Volume			
Gray Cement (MT)	33,000	85,000	150,000
White Cement (MT)	7,000	19,000	46,000
Total Volume	**40,000**	**104,000**	**196,000**
Revenue			
Gray Cement @ $90/MT	$3.0M	$7.7M	$13.5M
White Cement @ $225/MT	$1.6M	$4.2M	$10.1M
Total Revenue	**$4.5M**	**$11.8M**	**$23.6M**
Profitability			
Gross Profit	$1.1M	$3.2M	$6.8M
Gross Margin %	25%	27%	29%
Operating Expenses	($3.2M)	($5.2M)	($6.8M)
EBITDA	**($2.1M)**	**($2.0M)**	**$0.0M**
EBITDA Margin %	(45%)	(17%)	0%

Investment Phase: Years 1-2 are market entry investment phase with negative EBITDA. Year 3 achieves breakeven. Year 4+ expected strongly positive as fixed costs leverage across growing volume base.

RISK ASSESSMENT & MITIGATION

Top 5 Risks

Risk	Probability	Impact	Mitigation Strategy
Competitive Price War	Medium	High	White cement differentiation, tariff advantage ($12-27/MT), target independents
Port Redwing Operational Issues	Medium	High	Equipment redundancy, backup terminals, insurance, experienced team
Supplier Delivery Failures	Low-Med	High	Multiple suppliers (Royal, Cleopatra, Nuh), 45-90 day inventory buffer
Market Demand Downturn	Low-Med	High	Geographic diversification (FL + export), product mix (gray + white)
Tariff Policy Changes	Low-Med	High	Diversified sourcing, pass-through clauses, even at 20-25% still competitive

STRATEGIC RECOMMENDATION

✓ RECOMMENDATION: PROCEED WITH TAMPA BAY MARKET ENTRY

The Tampa Bay cement market represents a compelling opportunity for SESCO with:

- **Large, growing market with structural import dependency (46%)**
- **Favorable competitive position (tariff advantage, white cement specialty)**
- **Port Redwing infrastructure provides strategic platform**
- **Achievable financial targets (Year 3: 190-200K MT, $24M revenue)**
- **Manageable risks with clear mitigation strategies**

Immediate Next Steps (Next 90 Days)

Priority	Action	Owner	Target Date
1	Finalize Port Redwing operational readiness	Operations	Month -1
2	Complete sales team recruitment (4-6 people)	Sales VP	Month -1
3	Finalize supplier agreements (Egypt/Turkey)	Procurement	Month -2
4	Receive initial inventory vessel (30K MT)	Logistics	Month -1
5	Initiate top 10 customer conversations	Sales	Month 0
6	Board approval and funding confirmation	Finance/CEO	Month 0

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